



**Financial
Reporting Centre**

AML/CFT/CPF Guidance Note to Accountants

Identification
and Reporting of Suspicious
Transactions or Activities

Issue of January 2026



Financial Reporting Centre

The Financial Reporting Centre (FRC), Kenya's Financial Intelligence Unit, is established under section 21 of the Proceeds of Crime and Anti-Money Laundering Act, 2009 (POCAMLA).

FRC is an independent body whose principal objective is to assist in the identification of the proceeds of crime and combating money laundering, terrorism financing and proliferation financing.



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Disclaimer

This Guidance Note is intended to assist accountants in public practice in Kenya to understand and comply with their Anti-Money Laundering, Counter-Financing of Terrorism, and Counter-Proliferation Financing (AML/CFT/CPF) obligations as set out in the following Acts and Regulations:

- The Proceeds of Crime and Anti-Money Laundering Act (POCAMLA), 2009;
- Accountants Act (Cap. 531);
- Prevention of Terrorism Act (POTA), 2012;
- The Proceeds of Crime and Anti-Money Laundering Regulations, 2023;
- The Prevention of Terrorism (Implementation of the United Nations Security Council Resolutions on Suppression of Terrorism) Regulations, 2024;
- The Prevention of Terrorism (Implementation of the United Nations Security Council Resolutions on Prevention, Suppression and Disruption of Proliferation Financing) Regulations, 2023.



This Guidance Note is for educational and awareness purposes only and do not constitute legal advice. This Guidance compliments the legal and regulatory framework governing anti-money laundering, combating the financing of terrorism and, countering proliferation financing and therefore should be read together with the current laws, regulations, and directives issued by the Financial Reporting Centre (FRC), the Institute of Certified Public Accountants of Kenya (ICPAK), and any other competent authority.

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Abbreviations

AIF	- Additional Information File
AML	- Anti-money laundering
CFT	- Countering financing of terrorism
CPF	- Countering proliferation financing
DNFBPs	- Designated Non-Financial Businesses and Professions
FRC	- Financial Reporting Centre
ICPAK	- Institute of Certified Public Accountants of Kenya
MID	- Monetary Instrument Declaration
POCAMLA	- The Proceeds of Crime and Anti-Money Laundering Act
POTA	- Prevention of Terrorism Act
RFID	- Request for Information Domestic



1.0 Introduction

Money laundering, terrorism financing, and proliferation financing pose significant risks to Kenya's financial system, national security, and the integrity of professional services. These crimes increasingly involve international transactions and the exploitation of legitimate professional services. Therefore, accountants must implement robust safeguards to prevent misuse.

Kenya's AML/CFT/CPF legal framework is primarily rooted in POCAMLA, POTA, and their associated regulations. These legislative measures, supplemented by guidelines from FRC, establish comprehensive mechanisms to effectively detect, prevent, and disrupt illicit financial activities, thereby enhancing national security and the integrity of the financial system.

1.1 Services Provided by Accountants and their Vulnerabilities to ML/TF/PF

In Kenya, accountants are classified as Designated Non-Financial Businesses and Professions (DNFBPs) under Section 2 of the POCAMLA. The AML/CFT/CPF legal framework applies to accountants in public practice who perform activities listed under Section 48 of POCAMLA on behalf of their client(s). Criminals often target these professional services to mask the origin, movement, or ownership of illicit funds through the following activities:

(1) Buying and Selling of Real Estate

The activity of buying and selling of real estate applies to both residential and commercial purchase, sale, lease, and mortgage transactions, and transactions that finance a purchase or sale of real estate.

Real estate is widely recognized as a high-risk sector for money laundering, as flagged in the 2023 National Risk Assessment. This vulnerability stems from substantial property values and transaction structures that can obscure beneficial ownership.

The property market remains a primary channel for layering or integrating illicit funds. Accountants may be targeted to facilitate the purchase or sale of real estate, effectively laundering large sums of criminal proceeds.



(2) Managing of Client Money, Securities, or other Assets

This involves handling the clients' funds where accountants control the use, application or disposition of funds or has a signatory authority over the client's financial account or holding client money in designated trust accounts, particularly those who provide estate-planning, litigation-support, or tax-administration services.

Accountants managing client assets are vulnerable to ML/TF/PF abuse because they can facilitate layering and disguise origins of illicit fund. Client accounts may be misused to commingle funds or execute rapid asset movements, inadvertently turning accountants into intermediaries who obscure audit trails and evade detection.

(3) Management of Bank, Savings, or Securities Accounts

Accountants managing client bank accounts, savings, or securities accounts, often via power of attorney, can reduce financial institution scrutiny and create "pass-through" vehicles for illicit funds. This activity provides a "veneer of legitimacy" to illegal wealth, especially when transactions involve high-value transfers, lack clear economic purpose, or link to high-risk jurisdictions.

(4) Organization of Contributions for the Creation, Operation, or Management of Companies

Accountants arranging capital injections – such as initial contributions or shareholder loans – can inadvertently allow proceeds of crime to enter corporate structures as legitimate investments. Risks escalate when funding sources are opaque, loans lack commercial justification, or complex arrangements are used to disguise the origin of funds for money laundering or terrorist financing.

(5) Creation, Operation, or Management of Buying and Selling of Business Entities or Legal Arrangements

This involves accountants creating, operating or managing legal persons or arrangements on behalf of clients, and buying and selling of business entities on behalf of clients. It involves activities such as setting up, running, or controlling companies, trusts, partnerships, and similar structures; facilitating mergers and acquisition of business entities on behalf of clients.

Accountants may be hired to set up trusts, other legal entities or to facilitate the sale, acquisition or merging of an existing business. Accountants are often targeted by criminals to exploit their expertise in establishing trusts, corporate vehicles, and complex legal structures.

These entities facilitate money laundering through layering, where fictitious transactions or inflated invoices disguise illicit transfers as legitimate business activity. By utilizing shell or shelf companies, criminals can mask beneficial ownership, distance themselves from illegal funds, and move capital across borders while maintaining control over the assets.

(6) Acting as a Formation Agent of Legal Persons or Legal Arrangements

Accountants acting as formation agents perform the critical function of establishing legal persons or arrangements, including the preparation and filing of incorporation documents with the Registrar of Companies. This role carries significant money laundering and terrorist financing (ML/TF) risks, as these services are often exploited to achieve anonymity through shell companies, nominees, or jurisdictions with weak transparency. Without robust customer due diligence and verification of beneficial ownership, accountants risk unknowingly facilitating the creation of structures designed to mask criminal activity.

(7) Acting as, or Arranging for Another Person to act as, a Director or Secretary of a Company, a Partner of a Partnership, or a Similar Position in relation to Other Legal Persons

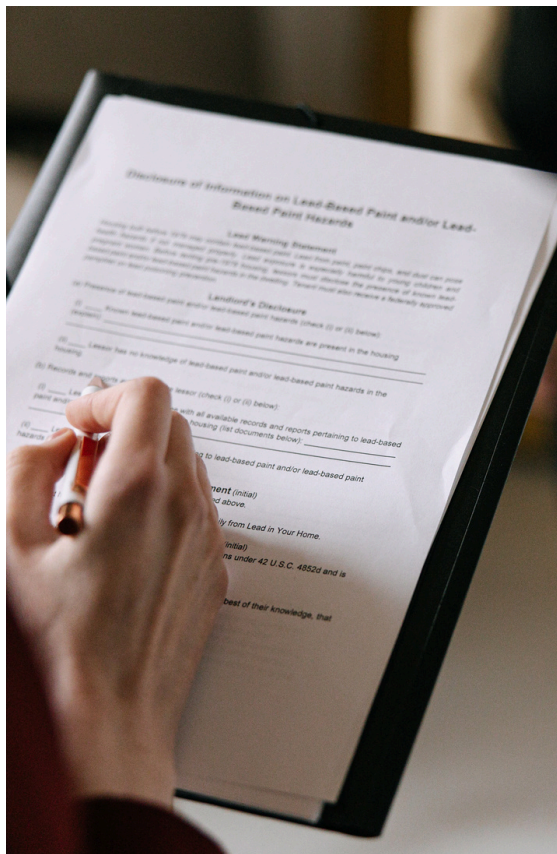
This activity applies to accountants if they provide services to a client whereby they act as a director of a company or provide corporate secretarial services to a company, for profit or not for profit, or act as a partner of a partnership on behalf of a client. This also includes situations where accountants find other persons to act in the above positions, and/or prepare documentation for another person to act in the above positions.

When accountants act as, or arrange others to act as, company directors, secretaries, or partners, they may provide administrative or governance support. These arrangements can be misused to create a buffer between the true controller and the entity, enabling criminals to exercise control while remaining hidden. This lack of transparency can undermine corporate governance and allow legal persons to be used as vehicles for money laundering or terrorist financing without effective oversight.

(8) Providing a Registered Office, Business Address or Accommodation, Correspondence or Administrative Address for a Company, a Partnership or any Other Legal Person or Arrangement

This activity refers to providing a physical address whereby mail, other correspondence, and items intended for the legal person or legal arrangement will be received or kept on behalf of client (s).

Accountants may provide registered office services, business addresses, or correspondence facilities for companies or other legal arrangements. While often legitimate, these services can be exploited to give the appearance of a physical presence where none exists. The use of the same address by numerous unrelated entities, particularly where there is little or no substantive business activity, may indicate shell companies designed to conceal illicit activities.



(9) Acting as, or Arranging for Another Person to Act as, Trustee of an Express Trust

When acting as trustees or performing equivalent functions for legal arrangements, accountants may manage assets, administer distributions, or oversee trust operations.

Trusts present inherent ML/TF risks because they separate legal ownership from beneficial enjoyment, making it easier to conceal the origin and ownership of assets. Complex trust structures, unclear beneficiaries, and cross-border arrangements can further obscure transparency and increase the likelihood of misuse for laundering illicit proceeds or facilitating terrorist financing.

(10) Acting as or Arranging for Another Person to Act as, a Nominee Shareholder/ Partner for Another Person

This activity applies to accountants in public practice if they provide this service to their clients who are legal persons or if they find persons and prepare or file the necessary documentation for another person to perform this service for their clients. Acting as a nominee shareholder, or arranging such services, directly obscures beneficial ownership by holding shares on behalf of another person. This practice poses a high ML/TF risk because it enables individuals to control companies without being publicly identified. Nominee arrangements particularly when combined with offshore entities or layered ownership structures, can significantly impede transparency and are commonly associated with sophisticated money laundering schemes.

(11) Intermediary and Introduction Services

Criminals often leverage the professional reputation of accountants to gain access to financial institutions. By acting as an introducer, an accountant may help a high-risk client bypass the stringent initial screening processes of banks or investment firms where such client has no connection.

(12) Bookkeeping and Financial Reporting

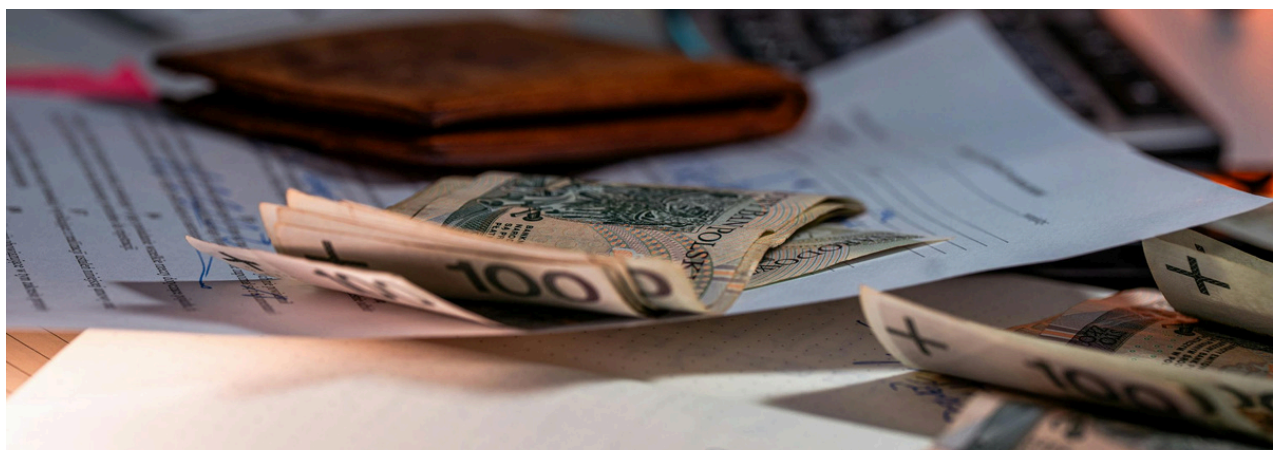
The use of incomplete records or the deliberate avoidance of International Financial Reporting Standards (IFRS) creates significant risk. Accountants must be wary of preparing or auditing financial statements where the underlying data is opaque, as this provides a cover for the commingling of legal and illegal funds.

(13) Acting as Escrow Agents

Accountants acting as escrow agents are highly vulnerable to ML/TF/PF because escrow accounts can be misused to disguise the origin, ownership, and destination of illicit funds, adding a veneer of legitimacy to criminal transactions. The primary risks stem from lack of transparency and a potentially weak implementation of AML/CFT/CPF controls.

1.2 Conclusion

Accountants in Kenya must strictly adhere to the preventative obligations under POCAMLA, POTA, and their supporting regulations. Under Section 44 of POCAMLA and Regulation 38 of the POCAML-Regulations (2023), Accountants are required to file Suspicious Transaction Reports (STRs) or Suspicious Activity Reports (SAR) with FRC. Consequently, this Guidance is designed to assist practitioners, particularly those performing high-risk activities, in identifying and reporting illicit financial patterns to ensure full regulatory compliance and protect the integrity of the profession.



2.0 Money Laundering, Terrorism Financing, and Proliferation Financing

In Kenya, accountants act as crucial gatekeepers of the financial system, playing a significant role in combating ML/TF/PF by fulfilling specific legal and professional obligations. Their access to financial records uniquely positions them to detect and prevent illicit financial flows.

2.1 Money Laundering

Money laundering is the process through which criminals conceal or disguise the illicit origin of property or funds arising from criminal activity, and introduce them into the formal economy as if they were legitimate.

Money laundering is criminalized pursuant to Section 3 and 4 of POCAMLA. A person commits the offence of money laundering if they know, or ought to have reasonably known, that property constitutes the proceeds of crime.

POCAMLA describes money laundering to include the following acts:

1. Entering into an agreement, arrangement, or transaction with anyone involving a property that constitutes proceeds of crime, whether legally enforceable or not; or
2. Performing any act that: conceals or disguises its nature, source, location, movement, ownership, or interest; enables or assists any person to evade investigation, arrest, prosecution, or confiscation; or removes, transfers, or diminishes property derived directly or indirectly from an offence; or
3. Knowingly or attempting to transport, transfer, transmit or receive a monetary instrument or anything of value to another person, with intent to commit an offence.

According to the National ML Risk Assessment Report of 2021[1], the ML vulnerability for accountants was assessed as Medium High. The NRA indicated that the risk manifests in different ways including accounting malpractices, tax related crimes and professional misconduct.

2.1.1 Stages of Money Laundering

Money laundering commonly occurs in three stages:

(a) Placement

This involves the introduction of proceeds of crime into the financial system. It may take the form of repayment of legitimate loans with laundered cash, blending of clean and dirty money in cash intensive businesses such as supermarkets and restaurants and depositing small amounts of illicit funds to a financial institution just below the reporting threshold.

(b) Layering

This involves a series of conversions or movements of the funds or assets to distance them from their illegal source and disguise their audit trail. This may involve converting cash into monetary instruments, purchasing of securities and electronic movement of funds into other countries. Layering may also occur in scenarios where, after funds are deposited into the account, a series of multiple complex transfers to obscure audit trails.

(c) Integration

This involves the re-entry of illicit funds into the economy in what appears to be proceeds from legitimate sources. It may involve acquisition of companies or other legal entities, purchase of real estate, precious stones and metals, jewellery and other luxury goods.

2.2 Terrorism Financing

POTA defines Terrorism Financing (TF) as collection, provision, movement, or management of money, property, or services with the intention, knowledge, or reasonably belief that they will support terrorist acts, terrorist groups, or individuals involved in terrorism. This includes supplying funds or resources for carrying out or facilitating attacks, assisting terrorist organisations in any capacity, financing travel for terrorist purposes, providing logistical support such as documents, shelter, or communication tools, and dealing in assets owned or controlled by terrorist groups.

It also covers possessing property or weapons for terrorist use, helping to conceal or retain terrorist property, harbouring individuals involved in terrorism, and supplying or offering weapons to terrorists. Engagement in any of these activities constitutes an offence and carries severe penalties, including imprisonment.

Accountants may be unknowingly used to:

- (i) Buy and sell property on behalf of criminals
- (ii) Manage client money, securities and other assets belonging to criminals
- (iii) Management of bank, savings or securities accounts
- (iv) Organization of contributions for the creation, operation or management of companies

2.3 Proliferation Financing

Proliferation financing involves the provision of funds, services, or economic resources used for the development, acquisition, manufacture, transfer, or transportation of weapons of mass destruction (WMDs) or related materials.

Proliferation financing often relies on complex corporate structures, front companies and intermediaries, international trade transactions, falsified shipping documents, and movement of dual-use goods (items with legitimate and military application). Accountants may be abused in any of these instances, resulting in the facilitation of PF.



3.0 Suspicious Transaction / Activity Reporting Obligations

3.1 Obligation to Report Suspicious Transaction or Activity

Accountants must report to the Centre within two days upon forming suspicion on activities or transactions that may suggest money laundering, terrorism financing, proliferation financing or the proceeds of crime. They are required to provide enough information to explain the nature and basis of their suspicion and must include any supporting documents they possess.

Accountants must conduct ongoing monitoring of all complex, unusual, large, suspicious transactions or such other transactions as may be specified by the regulations; whether completed or attempted and pay close attention to patterns with no clear economic or lawful purpose.

3.2 What Constitutes a Suspicious Reportable Transaction or Activity?

Suspicious activity could refer to any incident, event, individual or activity that seems out of place or at odds with your client's usual activity. Where a suspicious activity occurs, a Suspicious Activity Report (SAR) should be filed with the Centre.

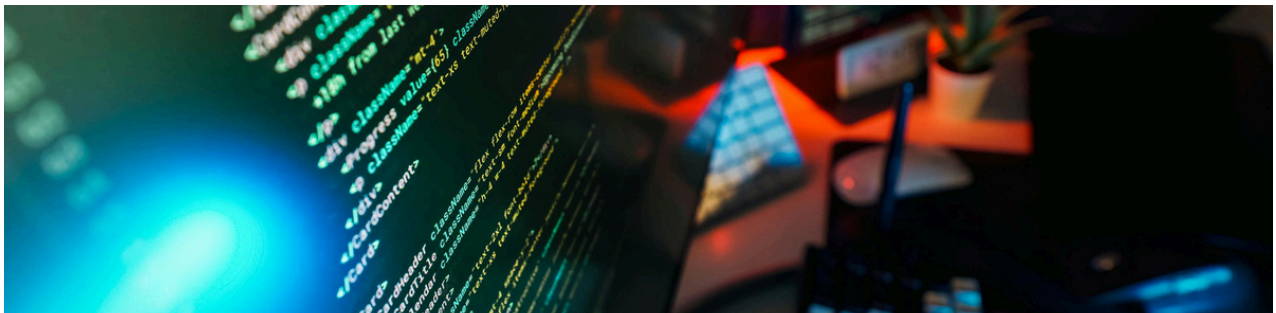
Suspicious transactions are transactions in which there are reasonable grounds to suspect that the client's funds, properties or assets involved are linked to the proceeds of crime. The funds, properties or assets could have been derived from an illegal activity or are intended to be used for an illegal activity. Where a suspicious transaction occurs, a Suspicious Transaction Report (STR) should be filed with FRC.

Suspicious transaction and activity is when you suspect or have reasonable grounds to suspect that funds involved in the transaction and activity are the proceeds of crime, or are related to money laundering or terrorism financing. It is where both the movement of funds and activity are suspicious. Where a suspicious activity and transaction occur, a Suspicious Transaction Activity Report (STAR) should be filed with the FRC.

4.0 Detecting and Identifying Suspicion

POCAMLA requires reporting institutions to monitor on an ongoing basis all complex, unusual, suspicious, large or such other transactions as may be specified in the law, whether completed or not, and shall pay attention to all unusual patterns of transactions, and to insignificant but periodic patterns of transactions which have no apparent economic or lawful purpose.

Determining whether a transaction or activity is suspicious is based on the knowledge of your client and their nature of business. A reporting institution and its employees are better positioned to identify transactions which lack justification or do not fall within the usual methods of a legitimate business.



To identify unusual customer transactions, accountants should consider:

- (a) The nature and type of individual transactions;
- (b) The nature of a series of transactions;
- (c) The amount of the transactions, paying special attention to particularly substantial transactions;
- (d) The geographical origin/destination of a payment or receipt;
- (e) The customer's usual pattern of activities or turnover;
- (f) The customer's residence status (whether a Kenyan national, a foreign resident, or an offshore/non-resident person or legal entity);
- (g) Type and location of services provided; evaluate the nature of the services rendered and the locations involved, particularly focusing on high-risk jurisdictions or services prone to anonymity
- (h) Speed, frequency, and consistency of transactions.

5.0 Key Risks and Red Flag Indicators

Accountants should be vigilant for a combination of these red flags, as a single indicator may not be sufficient to form suspicion on its own.

5.1 Why Red Flag Indicators and Case Scenarios?

Audit and Accounting firms should understand the type of clients that they serve. To identify potential risks, these firms must evaluate their client base against the following risk factors and red-flag indicators. The presence of one or more indicators may signal a heightened risk of money laundering, terrorist financing, or proliferation financing. Because these indicators are not exhaustive and may apply to various scenarios on a case-by-case basis, accountants must maintain an "inquiring mind" and exercise professional skepticism throughout both the initial client due diligence and the ongoing monitoring of the engagement.

5.2 Client Risk – Red Flag Indicators Explained

Firms must assess the risk posed by their clients by identifying specific red-flag indicators of ML/TF. The presence of one or more indicators – which are non-exhaustive and apply on a case-by-case basis – suggests a heightened risk profile.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
Clients seeking anonymity or undue secrecy	Client refuses or delays providing KYC documents, beneficial ownership details, CR12, or business address;	Criminals deliberately conceal their identity or beneficial ownership to distance themselves from proceeds of crime.	- Conduct full Customer Due Diligence (CDD) before on-boarding; - Obtain and verify national ID/passport, PIN, CR12, BOF1 and business address; - Identify and verify Ultimate Beneficial Owners (UBOs);

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
	• Client insists on using intermediaries, powers of attorney, or informal representatives; • Client provides inconsistent/ misleading information; • Client resists clarification on disparities identified.	• Shell companies and nominee arrangements may frequently be used to launder proceeds from corruption, tax evasion, wildlife trafficking, drug trafficking and fraud. • Lack of transparency undermines KYC obligations under POCAMLA and prevents tracing of illicit funds.	• Verify information using independent reliable sources (IPRS, Registrar of Companies); • Apply Enhanced Due Diligence (EDD) where secrecy persists; • Refuse or terminate the engagement if transparency is not achieved; • Submit a Suspicious Transaction Report (STR) to FRC where suspicion arises.
Clients with a history of criminal activity	• Past convictions or ongoing investigations are disclosed or discovered during screening. • Client or related persons appear in adverse media reports linked to fraud, corruption, tax evasion, money laundering, or other predicate offences;	• Past involvement in fraud, corruption, tax offences, or other predicate crimes significantly increases the likelihood of repeat offending. • The Kenya NRA identifies corruption and fraud as major sources of illicit proceeds, making such clients high-risk for ML & TF.	• Screen clients against sanctions, PEP, and adverse media databases at on boarding and periodically; • Require senior management approval before on boarding high-risk clients; • Apply Enhanced Due Diligence (EDD) measures; • Conduct and document client risk assessment and mitigation measures; • Conduct ongoing monitoring; • File STRs where there is suspicion of money laundering or terrorism financing.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
New clients outside the normal client base	• Client operates in unfamiliar sectors, jurisdictions, or business models; • Requests services that the firm does not usually provide; • Seeks rapid on-boarding without adequate background checks.	• Firms may lack sufficient sector or geographical expertise to identify suspicious activity. • Criminals often target professionals unfamiliar with their business models to exploit gaps in controls and professional skepticism.	• Perform a detailed client risk assessment; • Understand the business model, sector risks, and regulatory environment; • Obtain additional documentation and explanations; • Limit scope of services to be offered at engagement level; • Apply EDD until the client is confirmed not high risk beyond reasonable doubt. • File STRs where there is suspicion of money laundering or terrorism financing.
Source of Funds & Wealth	• Client cannot clearly explain how funds were generated; • Provides unverifiable / inconsistent documentation; • Wealth appears disproportionate to known income or business activities; • Reliance on cash, gifts, or loans without formal agreements.	• Unclear or unexplained sources of funds are a primary indicator of money laundering. • In cash-intensive economies such as Kenya, the proceeds of crime can easily be disguised as legitimate business income if source-of-funds checks are weak.	• Obtain documentary evidence of source of funds and source of wealth (contracts, payslips, bank statements, sale agreements); • Verify consistency with known income and business activity; • Corroborate information provided with third-party evidence; • Staff to escalate unexplained discrepancies to MLRO; • File STRs if funds remain unexplained or is suspicious.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
Corporate structure, ownership, nature of business & operations	• Use of complex, layered, or cross-border structures without commercial justification; • Frequent changes in directors / shareholders; • Use of nominee directors / shareholders; • Entities with no apparent operations or physical presence despite significant transactions • Company is registered at an address that is also listed against numerous other companies or legal arrangements, indicating the use of mailbox services or shell companies.	Complex or opaque structures obscure beneficial ownership and audit trails, making it difficult to detect layering and integration of illicit funds. Such structures are commonly used in trade-based money laundering and tax evasion.	• Map ownership and control structures; • Identify UBOs holding 10% or more (or exercising control over the client); • Verify directors and shareholders; • Assess commercial rationale of structure; • Apply EDD for complex or cross-border structures; • Decline engagement where ownership cannot be established. • File STRs where there is suspicion of money laundering or terrorism financing.
New clients – professional advisors/ auditors	• Client has recently changed accountants, auditors, or tax advisors without clear justification; • Reluctance to provide professional clearance letters; • History of disputes with previous advisors / auditors.	Frequent changes of accountants, auditors, or tax advisors may indicate attempts to avoid scrutiny, suppress adverse findings, or continue questionable practices without challenge.	• Obtain professional clearance letters; • Inquire and document reasons for change of advisor; • Assess whether change relates to disputes, regulatory issues, or audit findings; • Apply EDD (heightened scrutiny) at on-boarding. • File STRs with FRC if suspicion arises

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
Clients who are Politically Exposed Persons (PEPs)	- Client holds or has held prominent public positions, or is closely associated with such persons; - Level of wealth or transactions is inconsistent with known sources of income; - Reluctance to disclose PEP status or exposure.	- PEPs are exposed to bribery and corruption risks due to their influence over public resources. - Kenya's NRA highlights corruption as a key ML predicate offence, making unexplained PEP wealth particularly high risk.	- Identify PEP status at on-boarding and on a ongoing basis; - Obtain senior management approval before on-boarding; - Verify source of wealth and funds in detail; - Apply EDD and conduct enhanced ongoing monitoring; - Document rationale for continuing the relationship; - File STRs with FRC where suspicion arises.
Cash-intensive businesses	- High volumes of cash transactions; - Weak or inconsistent cash records; - Frequent large cash deposits or withdrawals not aligned with business profile; - Limited use of banking channels.	Cash transactions reduce transparency and create opportunities to introduce illicit funds into the financial system without a clear audit trail. Cash-intensive sectors are repeatedly identified globally as high risk for ML.	- Understand cash handling processes; - Perform cash reconciliation procedures; - Review cash-to-bank ratios; - Require explanations for large cash movements; - Increase transaction testing; - Apply EDD and file STRs with FRC where suspicion arises.
Clients transacting in crypto currencies or crypto-assets	- Use of unregulated crypto platforms; - Inability to explain source of crypto assets;	Cryptocurrencies can enable anonymity, rapid cross-border transfers, and limited traceability.	- Understand the nature and purpose of crypto transactions; - Identify platforms and wallets used;

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
	• Conversion between crypto and fiat without clear commercial rationale; • Reluctance to provide wallet or transaction history.	In Kenya, crypto activities have been largely unregulated, increasing vulnerability to ML/TF and fraud.	• Obtain transaction histories where possible; • Apply EDD; • File STRs with FRC where suspicious activity or a transaction arises.
Clients with changing businesses or emerging sectors	• Frequent changes in business activities; • Involvement in newly emerging or less regulated sectors without clear regulatory approvals or business plans.	Rapidly evolving sectors may lack robust regulation or oversight. Criminals may exploit regulatory gaps or disguise illicit activities as innovative business models.	• Continuously update client risk profiles; • Understand regulatory requirements applicable to the clients sector; • Obtain licenses or approvals where required; • Seek guidance from the regulators for emerging business models; • Limit scope of services at engagement level initially. • Apply ongoing monitoring and periodic reviews; and • File STRs with FRC where suspicion arises.
High-net-worth individuals (HNWIs) [1]	• Complex asset holdings across jurisdictions; • Use of trusts or companies to hold personal assets; • Significant unexplained wealth or sudden changes in financial position.	HNWIs often have complex financial arrangements and cross-border assets that can be used to conceal illicit wealth. Unexplained wealth among HNWIs may be linked to corruption, tax evasion, or foreign offences.	• Verify source of wealth comprehensively; • Review asset ownership structures; • Apply EDD; • Conduct ongoing monitoring of transactions and changes in wealth profile. • File STRs with FRC where suspicion arises.

[1] High Net Worth Individual means a person with net investable assets exceeding USD 1 million, excluding their primary residence. Financial institutions, regulators, and wealth managers commonly use this threshold, although definitions may vary by jurisdiction or institution.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
Contractors or agency workers paid via umbrella companies	• Complex payment arrangements; • Lack of clarity on employer or income source; • Inconsistent tax treatment; • Use of multiple umbrella companies over short periods.	Layered employment and payment structures can obscure true income, facilitate tax evasion, and enable laundering of illicit funds through payroll arrangements.	• Verify contractual arrangements; • Confirm identity of employer and umbrella company; • Review tax compliance status; • Assess income consistency; • Staff to escalate concerns to the MLR where arrangements appear phoney or just on paper; and • File STRs with FRC where suspicion arises.
Clients who are advocates, or dealers in real estate, precious metals and stones	• Involvement in high-value transactions; • Rapid buying and selling of property or valuables; • Use of cash or third-party payments; • Transactions not aligned with market values.	These sectors involve high-value transactions and assets that can store or transfer value.	• Apply EDD; • Verify transaction values against market rates; • Identify counterparties; • Review payment methods; • Monitor for third-party payments; • File STRs with FRC where suspicion arises.

5.3 Product / Service Risk – Red Flag Indicators Explained

Criminals are attracted to the accountancy sector as a way of giving legitimacy to businesses that are a front for money laundering. Accountancy services may be used to create corporate structures or help to legitimize the movement of proceeds of funds.

The following products or services may be at high risk of being used for money laundering or terrorist financing.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
Trust & company services	• Requests to form companies or trusts with unclear purpose; • Pressure to use nominee directors or shareholders; • Reluctance to disclose beneficial owners; and • Frequent changes in ownership shortly after incorporation.	Corporate vehicles can be misused to hide beneficial ownership, move funds across borders, and create layers that disguise illicit proceeds.	• Conduct full CDD and EDD; • Identify and verify UBOs and keep records of nominee arrangements; • Document business purpose; • Conduct ongoing monitoring of changes in ownership or control; and • File STRs with FRC where suspicion arises.
Legitimising books and records	• Requests to regularise or clean up records without source documents; • Pressure to backdate entries or manipulate accounts; • Unexplained adjustments of transactions in the books and records; • Duplicate invoicing, Over-invoicing, and under-invoicing; • Over shipments or under shipments; and • Client transaction records show sales at less than cost but the company keeps trading despite apparent loss.	Accountants' work may be relied upon to give credibility to falsified records, enabling integration of illicit funds into the formal economy.	• Refuse to backdate or falsify records; • Require supporting documentation for adjustments; • Maintain professional skepticism; • Disengage where integrity is compromised; and • File STRs with FRC where suspicion arises.
Payroll services & client accounts	• Payroll payments to unknown individuals; • Sudden increase in payroll size; • Use of payroll accounts for non-salary transactions;	Handling client funds creates opportunities for layering and misuse, especially	• Segregate client funds; • Restrict account use to payroll purposes only; • Monitor transactions and perform periodic reconciliations; • Investigate anomalies;

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
	• Funding the payroll account using unexplained cash; and • Frequent cash withdrawals.	where payroll accounts are used for non-salary transactions.	• File STRs with FRC where suspicion arises.
Tax planning & tax payments	• Aggressive tax schemes lacking economic substance; • Insistence on secrecy; • Reluctance to disclose full income or transactions; • Requests to route tax payments through client accounts; • Use of client accounts to settle tax liabilities for non-tax transactions; and • Frequent cash withdrawals.	Aggressive tax arrangements may be used to disguise income or reduce tax liabilities derived from criminal activities. Handling client funds creates opportunities for layering and misuse, especially where clients' accounts for payment of tax liabilities are used for other non-tax transactions.	• Ensure tax advice has economic substance; • Avoid aggressive or artificial schemes; • Verify completeness of income disclosures; • Refuse advice aimed at evasion; • Restrict account use to settling tax liability purposes only; and • File STRs with FRC where suspicion arises.
Insolvency services	• Asset transfers prior to insolvency; • Related-party transactions at undervalued prices; • Missing records; and • Pressure to expedite insolvency proceedings.	Insolvency processes can be abused to strip assets, conceal proceeds, or frustrate creditors and law enforcement.	• Review asset transfers; • Identify related-party transactions; • Apply EDD; • Document findings; and • File STRs with FRC where suspicion arises.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
Tax investigations (criminal element) advisory	• Client seeks advice on avoiding disclosure or reporting; • Selective provision of information; and • Client concern about being reported.	Practitioners may inadvertently facilitate tax crimes.	• Apply EDD; • Avoid tipping-off; • Document findings; and • File STRs with FRC where suspicion arises.
Property management Services	• Inconsistent rental records; • Clients involved in buying, selling, leasing, or managing high-value properties; • Use of cash or third-party payments for rent, deposits, or property-related expenses; • Complex ownership structures (trusts, nominees); • Properties held without clear economic purpose; • Transactions involving high-risk or sanctioned jurisdictions; • Politically Exposed Persons (PEPs) involved in property ownership; and • Unusual rental arrangements or inflated/deflated property values.	Real estate is vulnerable to money laundering and layering of illicit funds. Rental income and property transactions provide a steady channel for laundering illicit funds, particularly through cash payments. Accounting/audit firms involved in property management may facilitate knowingly or unknowingly the movement or concealment of illicit proceeds. Risk of terrorist or proliferation financing through property transactions.	• Reconcile rental income; • Perform EDD on property owners, tenants, and beneficial owners; • Verify source of funds for property purchases, rents, and deposits; • Screen clients against sanctions list; • Identify and verify if the client or the tenants is a PEP; • Monitor property-related transactions for unusual patterns or values; • Apply risk-based client acceptance and engagement continuance procedures; • Prohibit or strictly limit cash transactions; • Maintain detailed records of property transactions and ownership; and • File STR with FRC where suspicion arises.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
Forensic Accounting Services	- Engagements involving investigation of complex, high-value or cross-border transactions; - Clients involved in litigation, fraud, corruption, or regulatory investigations; - Requests to limit scope or restrict access to records; - Pressure to provide opinions favouring client outcomes; - Use of cash-intensive businesses or shell entities; - Clients linked to PEPs or high-risk jurisdictions; and - Unclear source of funds for professional fees.	Forensic accounting services are considered inherently high-risk due to their close association with financial crime investigations, disputes, and complex financial structures. Forensic services may be misused to legitimize proceeds of crime or conceal illicit activities. High exposure to ML/TF/PF risks due to nature of cases handled. Risk of being perceived as facilitating or aiding financial crime. Potential breach of AML/CFT/CPF regulations applicable to DNFBPs. Legal liability, regulatory sanctions, and reputational damage.	- Conduct EDD before accepting forensic engagements; - Identify BOs and verify source of funds for clients who are legal persons and legal arrangements; - Screen clients and related parties against sanctions and PEP lists; - Monitor engagements for unusual instructions or changes in scope; - Apply risk-based client acceptance and continuance procedures; - Maintain strict engagement independence and ethical safeguards; - Clearly define scope and documentation requirements; - Provide AML/CFT/CPF training tailored to forensic teams; - Conduct periodic internal reviews of forensic engagements; and - File STR with FRC where suspicion arises.

5.4 Transactions & Delivery Channels – Red Flag Indicators Explained

The way in which the firm provides its services to its client will influence the risk exposure of the firm. Most accountancy services do not involve the facilitation of transactions. However, the following area may be at high risk of being used for money laundering or terrorist financing.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
Client accounts	• Client insists on using the client's account to receive or route funds; • Transactions inconsistent with professional services; • Unexplained movements of funds; • Complex transactions that lack economic or commercial sense; • Multiple transactions split into amounts just below reporting thresholds; and • Client's account had a long period of inactivity following account opening, then a sudden and unexplained increase in financial activities.	Client accounts may be misused as temporary holding or transit accounts, distancing illicit funds from their criminal source.	• Restrict use of client accounts only to the purpose of its creation; • Discourage third-party fund flows; • Monitor transactions; • Maintain audit trails; and • File STRs with FRC where suspicion arises.
Escrow accounts	• Large sums held for extended periods; • Unclear purpose of maintaining escrow accounts; • Frequent changes in beneficiaries; and • Early release requests without justification.	Large sums held temporarily can be layered through escrow arrangements, especially in property transactions.	• Verify purpose of escrow accounts; • Identify beneficiaries; • Monitor movement of funds; • Require documentation before release; • Apply EDD; and • File STRs with FRC where suspicion arises.
None face-to-face Clients	• Reluctance to engage via video calls/engagement; • Use of scanned or uncertified documents; • Discrepancies in identity verification; • The client actively avoids personal contact without a reasonable explanation;	Remote on-boarding increases the risk of identity fraud, impersonation, and false documentation.	• Use reliable digital verification tools; • Conduct video verification without AI filters and deep fakes; • Obtain certified documents;

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
	• The client consistently refuses in-person meetings, preferring all interactions to be conducted via email/telephone, which deviates from standard business practice for the specific client type/service sought; • Frequent use of an intermediary for all communications/transactions, combined with the client's unwillingness to meet directly, suggesting an attempt to obscure the true beneficial owner/identity; and • During engagement, the client becomes evasive when asked for details that would typically be gathered during a face-to-face interaction, such as the purpose of the business relationship or source of funds.		• Apply EDD; and • File STRs with FRC where suspicion arises
Insider threat	• Staff overriding controls; • Unusual access to client files; • Conflicts of interest; and • Unexplained changes in tax filings.	Employees with system access may facilitate or conceal ML/TF activities, especially in tax matters involving sensitive data.	• Conduct staff screening; • Enforce segregation of duties; • Implement access controls; • Monitor staff activity; • Provide AML training; and • File STRs with FRC where suspicion arises.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
Multiple services for a single client	Same client uses multiple services (e.g., audit, tax, payroll, company services) increasing complexity and obscuring risk.	Providing multiple services can blur risk visibility and make suspicious activity harder to detect. A self-review threat will crystalize when an accountant is required to re-evaluate their previous works.	- Conduct holistic client risk assessments; - Ensure information sharing across service lines; - Increase monitoring intensity; and - File STRs with FRC where suspicion arises.



5.5 Country / Geographical Risk – Red Flag Indicators Explained

The firm should consider whether its clients are established in countries that are known to be used by money launderers or terrorist financiers or proliferation financiers, or whether another of the parties to the transaction is established in such a country. When determining geographic risk, factors to consider may include the perceived level of corruption, criminal activity, and the effectiveness of AML/CFT/CPF regime of the country.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
Countries with weak ML/TF controls	Clients or transactions linked to jurisdictions with limited AML enforcement or regulatory oversight.	Weak regulatory regimes increase the likelihood that funds originate from or are linked to criminal activity.	- Conduct client ML/TF risk assessments; - Apply EDD; - Enhance ongoing monitoring; and - File STRs with FRC where suspicion arises.
Countries with high levels of corruption	- Funds originating from or destined to countries known for corruption; and - Links to public procurement or government contracts.	Corruption generates large volumes of illicit proceeds that require laundering through professional services.	- Enhanced screening; - Verify source of funds and wealth; - Obtain senior management approval before onboarding or accepting such clients; and - File STRs with FRC where suspicion arises.
Countries with entities subject to sanctions	Clients, counterparties, or transactions linked to entities or individuals from sanctioned jurisdictions.	Dealing with sanctioned parties exposes firms to severe legal, regulatory, and reputational risks.	- Conduct sanctions screening; - Stop dealings where applicable; - Freeze funds and assets; and - File STRs with FRC.

Risk	Description (Red-Flag Indicators)	Why this is a Risk?	Required Actions (for Detection & Prevention)
FATF blacklisted countries	• Business relationships involving jurisdictions subject to FATF counter-measures.	These jurisdictions pose significant ML/TF/PF risks and are subject to international counter-measures.	• FATF blacklisted countries
Proliferation financing risk	• Trade involving dual-use goods; • Complex import/export routes; and • Inconsistent trade documentation.	Trade-based transactions involving dual-use goods can fund proliferation activities, posing national and international security risks.	• Proliferation financing risk
FATF blacklisted countries	• Business relationships involving jurisdictions subject to FATF counter-measures.	These jurisdictions pose significant ML/TF/PF risks and are subject to international counter-measures.	• FATF blacklisted countries

6.0 Filing a Suspicious Report

Accounting firms should endeavour to report any suspicion of ML/TF/PF or criminal proceeds to FRC

6.1 Internal process for reporting suspicion to the MLRO

Where a client, or a potential client attempts to conduct business or engage in a transaction that raises suspicion or where it seems that the activity or transaction, or attempted activity or transaction gives rise to a suspicion or raises initial concerns that money laundering, terrorism financing and proliferation financing is being attempted or is occurring, this suspicion must be reported to the MLRO by the staff.

A staff member of the firm shall make an internal disclosure of their suspicion to the firm's MLRO in accordance with their internal reporting procedures. The MLRO will obtain further information and make an assessment of the disclosure to determine whether the facts give rise to a suspicion of money laundering, terrorist financing or proliferation financing. Further, it may involve asking additional questions from staff or client, conducting CDD, and trying to understand the background and the events leading up to and surrounding the potential suspicious activity or transaction.

The aim of the assessment is to look at the totality of the circumstances to determine whether the client or their transaction is merely unusual, or whether there are subjective grounds for a suspicion of money laundering, terrorism financing or proliferation financing that would require the filing of a suspicious report with the Centre. Where there are reasonable grounds for suspicion, the MLRO shall file a suspicious report with the Centre.

The MLRO is not responsible for proving that money laundering, terrorism financing or proliferation financing, is actually happening. Instead, their task is to review the internal report, gather any additional relevant information, understand the circumstances, analyze all available details, and decide whether there is enough evidence to form a belief or suspicion that such criminal activity may be taking place.

6.2 When to File a Report

An MLRO shall file a suspicious report with the Centre within two days upon forming a suspicion in the specified manner through the goAML portal (<https://goaml.frc.go.ke>).

Every accounting firm is required to register in the goAML portal to be able to report suspicious transactions as required under Section 47A (1) of POCAMLA.

6.3 What is to be Included in a Suspicious Report

A suspicious report shall entail the reason for suspicion and basis of suspicion. The reason for suspicion shall entail both the profile of your client and details of the transaction or activity.

Profiling of your client would include:

1. Natural person (name, nationality, ID/Passport, DoB);
2. Legal person (name, registration number, date of registration, directors/shareholders, beneficial owners, nominee directors or partners).
3. PEP relation
4. Occupation or nature of business of the suspicious person
5. Date of establishment of a relationship with the firm and services or accounts offered or held with your firm
6. Location of person (high risk jurisdiction or area)
7. Nature in which the suspicious person is involved in the suspicious transaction or activity
8. Related Parties (accounts, persons or entities)

Details of suspicious transaction or activity would include:

1. The date of activity or transaction;
2. Description of nature of transaction or activity;
3. Declared source of funds;
4. Transaction details;
5. Declared purpose of funds
6. Country of origin or destination of funds

The basis of suspicion highlights why the identified transactions are suspicious with their corresponding ML/TF indicators. Indicators are informed by description of suspicion and the suspicious transaction or activity.

A suspicious transaction or activity report should be supported by the necessary documents depending on the details of that transaction or activity.

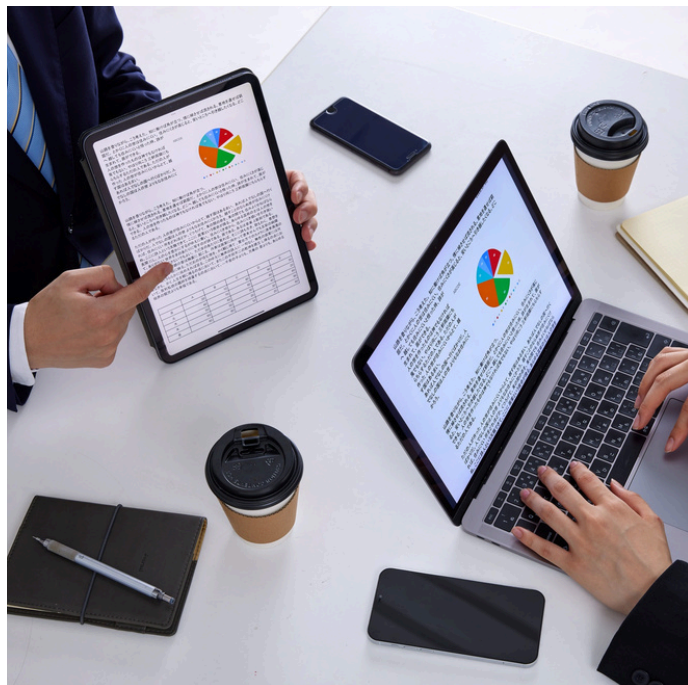
Such documents include:

1. Client on-boarding forms (KYC)
2. Record of relevant transactions of the client
3. Working Papers where applicable
4. Additional supporting documents:
 - Bank slips, receipts
 - Agreements and advisories – land, service, real estate
 - Invoices – commercial and proforma
 - CDD and EDD documentation

6.4 Quality of Reports

A suspicious transaction or activity report is said to be of quality where it is reported within the timelines, contains unique identifiers for both natural and legal persons, identifies the suspicious transaction or activity and the probable offence.

Accounting firms are also encouraged to consider the qualitative aspects of the information in the STR/SAR with regard to completeness, accuracy, timeliness, relevance and reliability:



(1) Qualitative aspects

Look at the substance and usefulness of the information, not just the fact that a report exists.

(2) Completeness

Are all relevant information included? Are key facts, parties, transactions, and context missing?

(3) Accuracy

Is the information correct, factually sound, and free from errors or inconsistencies?

(4) Timeliness

Was the STR/SAR submitted promptly, while the information was still useful to authorities?

(5) Relevance

Does the information directly relate to suspected money laundering, fraud, or other financial crime, rather than including unnecessary or unrelated details?

(6) Reliability

Is the information based on credible sources, proper documentation, and reasonable professional judgment?

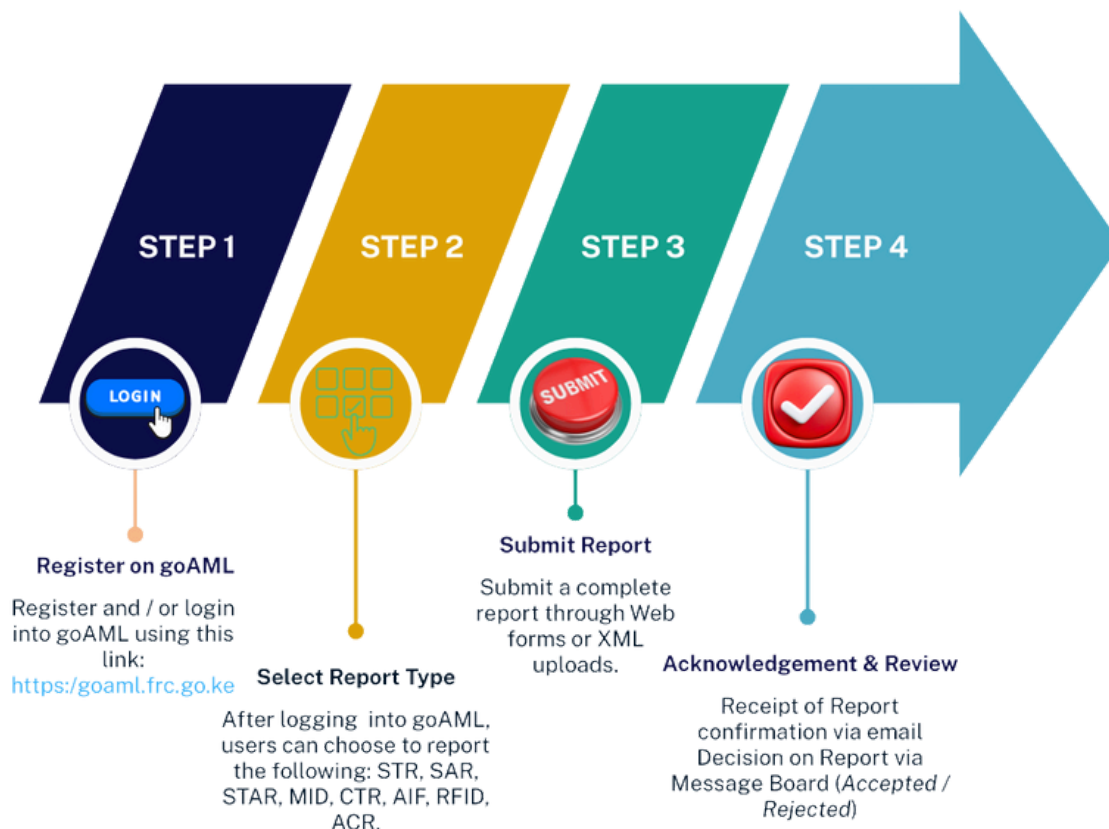
In essence: Accounting firms are expected to apply professional judgment and critical thinking when preparing and reviewing STRs/SARs, ensuring the reports are useful, trustworthy, and actionable for regulators or law enforcement.

7.0 SUSPICIOUS REPORT SUBMISSION PROCESS

Suspicious report filing are done in four-step process (as shown in the figure below) through the secure encrypted goAML system as discussed below:

Suspicious Report Submission Process

Essential steps on goAML integrated system



Step 1: Register on goAML

The reporting process begins with registration on the goAML platform. Reporting entities are required to create an account or log in using their existing credentials through the designated goAML portal. This step establishes the identity of the reporting institution and its authorized users, ensuring that only approved entities can submit reports. Proper registration enables secure access to the system and ensures accountability and traceability of all submitted reports.

Step 2: Select Report Type on goAML

Once logged in, users must select the appropriate type of report that corresponds to the transaction or activity being reported. The goAML system provides several report categories, including Suspicious Transaction Reports (STR), Suspicious Activity Reports (SAR), Cash Transaction Reports (CTR), (AIF), (MID), (RFID), and Annual Compliance Reports (ACR). Selecting the correct report type is essential, as each report serves a different regulatory purpose and requires specific information to support effective analysis by the Centre.

Step 3: Submit Report

After selecting the report type, users are required to complete and submit the report through the goAML system. Reports may be submitted by filling out structured web-based forms or by uploading data using XML files, depending on the reporting entity's systems and capabilities. At this stage, the information provided should be complete, accurate, and consistent, as incomplete or incorrect submissions may result in delays or rejection. This step formally transmits the report to the Centre for analysis

Step 4: Acknowledgement and Review

Following submission, the system generates an acknowledgement confirming receipt of the report, which is typically sent to the reporting entity via email. The report then undergoes a review process by the FRC to assess its completeness and compliance with reporting requirements. The outcome of this review is communicated through the goAML message board, where the report status is indicated as accepted or rejected. This final step ensures transparency and provides feedback to reporting entities, allowing them to take corrective action where necessary.

8.0 DECISION NOT TO SUBMIT A SUSPICIOUS REPORT

Where the MLRO decides that the internal disclosure does not substantiate a suspicion of money laundering, terrorism financing and proliferation financing, the MLRO must document the reasons for their decision and retain records of this along with the original internal disclosure.



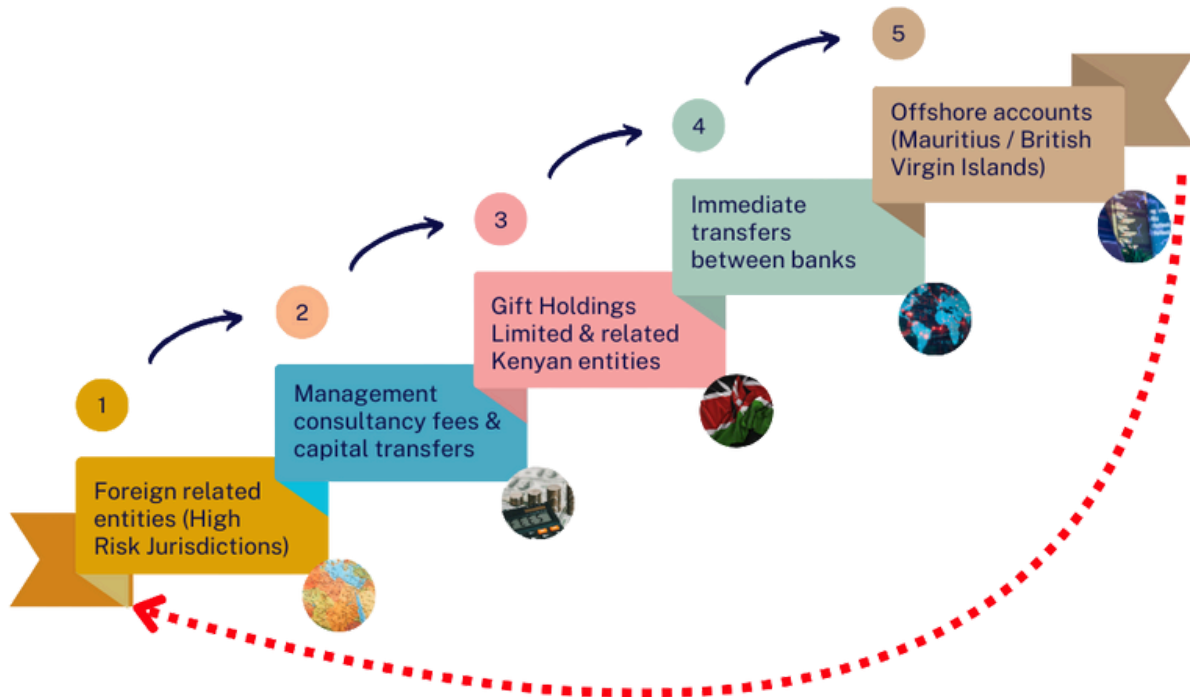
9.0 CASE STUDIES - ACCOUNTING PROFESSION

9.1 Case Study 1 (UBOs and complex structure)

JIM Advisory LLP is a mid-sized accounting firm based in Nairobi providing bookkeeping and tax support services to Gift Holdings Limited, a Kenyan-registered investment holding company. Gift Holdings forms part of a wider group with related entities registered in Kenya, Mauritius, China, and the British Virgin Islands. The Group's stated business is investment in start-ups and provision of management consultancy services to affiliated companies. Fees earned from this client account for approximately 5% of JIM Advisory LLP's annual turnover, making the client commercially significant. During client onboarding and engagement, the firm noted that ownership of Gift Holdings is layered through offshore companies and foreign trusts, making it difficult to identify the ultimate beneficial owner. Although the local directors presented themselves as decision-makers, JIM Advisory LLP suspected that the Group was ultimately controlled by Mr. Yang, a wealthy foreign national with strong political connections in his home country and close family members involved in the Group's affairs.

Over time, the accounting firm experienced persistent delays and resistance when requesting ownership information, trust deeds, and supporting documentation. Complete accounting records were only submitted after repeated follow-ups and covered three consecutive years at once, limiting effective ongoing monitoring. Upon reviewing the records, JIM Advisory LLP identified several red flags. The Group frequently invested in Kenyan and regional start-ups, only to dispose of these investments within short periods, almost always at a profit, without clear commercial explanations. Gift Group companies operated multiple bank accounts in Kenya and abroad, with funds being transferred almost immediately upon receipt, often between related entities. Management consultancy invoices were predominantly issued to foreign related companies in a high-risk jurisdiction, and the firm later discovered that Mr. Yang, the suspected beneficial owner, sat on the executive committee of some of the invoiced entities. Taken together, the opaque ownership structure, high-risk jurisdictions, rapid movement of funds, related-party invoicing, and possible politically exposed person (PEP) involvement raised reasonable suspicion.

Case 1: Flow of Funds



Red flags

- Rapid disposal of investments
- Complex ownership structures
- Inaccessibility of certain crucial Group records by the accounting firm and lack of disclosure by the company
- Accounting firm being paid fees from Chinese company for work done in Kenya

Ownership Structure



9.2 Case Study 2 (KYC and due diligence)

Jeniffer is a Compliance Officer of JW Audit Firm Ltd, a licensed accounting firm in Kenya. She is in charge of meeting with all new prospective clients and obtaining all necessary information before the commencement of the business engagements.

A new client, Mr. Kabasele, introduced by a long-standing existing client, has come in the office for a meeting. Mr. Kabasele is a Congolese resident and a Kenyan home owner with a company that trades in furniture. Jeniffer went through all the KYC documents required for the onboarding, explaining the company's policies and procedures to be followed and left the meeting with a promise that the prospective client will provide all documents within the end of the week, so the firm can proceed with its acceptance procedures.

Mr. Kabasele, as promised, dropped off at the reception an envelope with some documents, but upon review, Jeniffer realized that he had only provided a few documents. She emailed him a list of missing documents and a new deadline to provide her with everything. Mr. Kabasele responded that he was in a hurry to obtain operational data and other financial records and requested the firm to proceed with the application until he comes back next week.

The firm prepared the necessary forms and asked him to come in the office and sign while bringing the remaining documents. Mr. Kabasele signs the documents and leaves a substantial cash amount to the firm for future services but omits to bring in the pending documents required to complete the KYC and due diligence procedures. He explained that the documents are held by his lawyer and he has not passed by his office to collect them.

Jeniffer contacts the client who referred Mr. Kabasele to the firm and finds out that he does not know him that well and that he only met him at Busia border while on a business trip to Kenya. Jeniffer contacts Mr. Kabasele immediately and asks him for a meeting. Mr. Kabasele fails again to provide the firm with the missing documents. As a result, Jeniffer informed him that JW Audit Firm Ltd cannot provide any services to him and returned the cash to him. No further services were provided to Mr. Kabasele.

Red flags

- Difficulty providing requested documents
- Urgency by the client to proceed with other processes
- Substantial cash paid to the accountant for future work
- Entrance at walking border, probably an illegal migrant?

9.3 Case Study 3 (Deposit and movement of funds between bank accounts)

Jagero East Africa is a firm of accountants licensed in Kenya. The accounting firm opts to provide audit and consultancy services to a client, a company belonging to a foreign individual, Mr. Wales, including, amongst others, bookkeeping, accounting, bank signatory services, fiduciary services and assistance in the execution of agreements. The accounting firm outsources tax and VAT expertise to another Kenyan service provider on a need to basis.

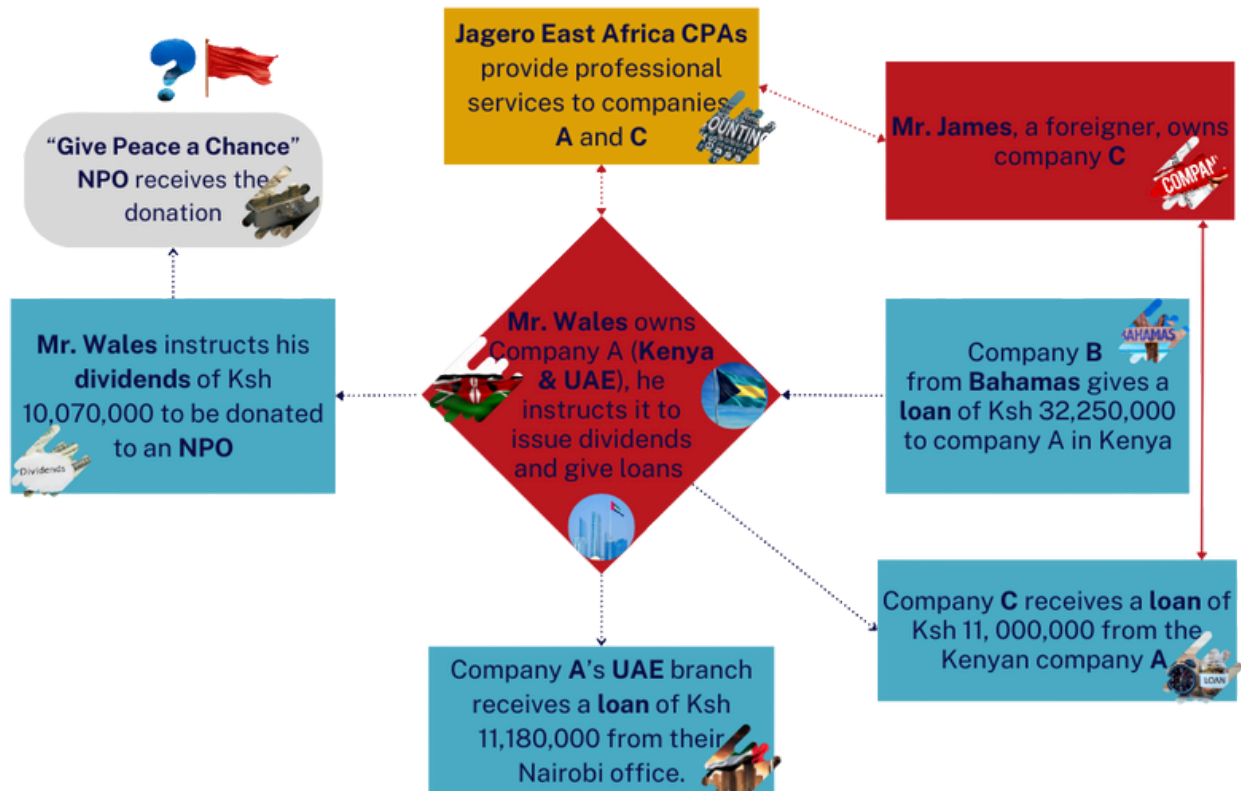
At client onboarding and engagement, Mr. Wales declared his business activities as holding of shares in companies operating in the construction materials manufacturing in various jurisdictions around the world. The Company remained dormant for more than a year despite the continuous efforts by the accounting firm to get in touch with the owners.

Two years later, Mr. Wales and his Company became suddenly active and its activities drew the attention of the accounting firm. More specifically regarding the following behavior on the provided bank statements and other documentation;

1. Deposits of the bank cheques issued involving extraordinarily large amounts of money. The explanation given was that these were the proceeds of the disposal of real estate in South Africa.
2. Exchange of various currencies in differing amounts through various banks across the region that were opened without the involvement of the accounting firm. The explanation given was that this was done simply to assist the UBO's brother's company which operates a photocopying and Exchange Bureau company.
3. The settlement of the accounting firm's invoices issued, was effected through a seemingly unrelated entity registered in the British Virgin Islands.
4. Various other bank receipts and payments were effected as follows:
 - Remittance of Kes. 32,250,000 from another company in the Bahamas. The explanation given was that this remittance is based on a loan agreement, a copy of which was sent to the accounting firm.
 - Out of the amount above, Kes. 11,180,000 was paid out to another account of the Company with another bank in UAE.
 - Issuing of a banker's cheque for Kes. 11,000,000 to another company which is also a client of the accounting firm which belongs to another foreign national Mr. James. Again, this transaction was recorded as a loan provided to this other company.
 - Payment of the balance to the shareholder by way of a dividend. The shareholder asked for the amount to be paid to a Foundation 'Give Peace a Chance Org', a non-profit organization.
 - Subsequent to a cash withdrawal the bank account was closed.

Red flag indicators

- The company remained dormant for more than a year after inception.
- Unable to get in touch with the owners.
- Sudden activation of the company and large amounts transacted.
- Settlement of firm fees by an unrelated party.



Case 3

Ownership and Flow of Funds

9.4 Case Study 4 (Money Laundering)

CPA Mutisya is an in-house accountant of a Kenyan incorporated company which is a subsidiary of a large group of companies extending to UAE. He is a professional accountant and an expert in financial instruments. Further to the company working hours, Mutisya is working until late regularly during which time he processes the major part of the company's transactions.

More specifically, he is using a few bank accounts, which were opened in the name of the company, to carry out transfers in foreign currencies. In most of the cases these activities are not linked to the business activities of the company. In addition, the balance of the accounts is usually nearly zero. However, the total amount of the transfers and volume of transactions is often considerably high.

The transactions posted in the general ledger are split in small amounts and in addition, many of the transactions are rounded amounts and less than USD 15,000. The internal policy of the company is to have authorized transactions which are above USD 15,000. The proceeds from the transactions are deposited at different branches of the same bank.

Also, he makes short-term investments, mainly using electronic means to transfer, in marketable securities, which are quickly liquidated so that the proceeds can be reinvested. The investments are spread in insurance products and sacco short-term deposits.

Mutisya's behavior has been identified by his colleague CPA Kamau, but without taking any further steps or informing any senior employee of the company. The company recently hired a new senior accountant, CPA Dr. Wafula to assist the financial controller of the company and he suspects that Mutisya's transactions are detrimental to the company and seems not to be legitimate transactions.

Red Flags

- Employee working until late when significant volume of transactions are processed in the absence of obvious reason.
- Use of several banks to transfers funds in most cases not linked to any main activity of the company
- Transactions of amounts just below the legally established reporting threshold.
- Use of short term and easily redeemable investments

9.5 Case Study 5 (Digital fraud/ scams)

CPA Edward, a partner at E & M Accountants LLP, an accounting firm registered in Kenya by ICPAK was engaged by Merry Ltd to offer consultancy services including preparation of books of accounts. Merry Ltd is an IT company incorporated in Germany with established presence in Kenya. At client engagement, the company disclosed its source of income as proceeds from gaming activities through their internally developed app on social platforms such as app store, google and facebook.

Edward checked on the bank statements provided by Merry Ltd and discovered that during the first 6 months, the client bank account received 50 inward payments. Only 3 out of the 50 payments were from social platforms; the rest were from individual Mpesa transfers and legal entities deposit narrated as "investment".

As part of due diligence, Edward conducted a search on open sources and realized that Merry Ltd, a Nairobi-based investment company, has been charged in a pending court case over allegations of defrauding members of the public through an unlicensed investment scheme. According to court filings at the Hill Law Courts, the company and two of its directors are accused of soliciting funds from the public while promising unusually high and guaranteed returns.

Red flags

- The payment details which refer to ‘investments’ lead to the suspicion that the client may be committing investment fraud.
- Most of the client’s transactions were not in line with the declared / known activities.
- Multiple incoming and small value transfers indicates the account being used as a funnel account.
- Adverse media mention of the client.

9.6 CASE STUDY 6 (Use of escrow/client accounts)

Nguo & Co. Certified Public Accountants is a Nairobi-based accounting firm licensed in Kenya. The accounting firm has been engaged to provide audit, tax, and escrow management services to Pasi Investment Group, a real estate and consultancy group with operations in Kenya and offshore structures in the BVI. The firm has opened and commenced managing multiple escrow accounts on behalf of the group at Mkulima bank, Mwalimu bank, and Mhadhiri bank, claiming the accounts are meant to temporarily hold investor funds pending land acquisitions and joint venture approvals.

Over time, the escrow accounts began receiving large and frequent deposits from unrelated local entities, including construction companies and trading firms, with no direct link to the stated real estate projects. Funds are rapidly transferred out on near consecutive dates to law firms, consultancy companies, and offshore entities based on generic narrations such as “professional fees” and “consultancy services” invoices prepared or endorsed by Nguo & Co. The escrow accounts effectively operated as pass-through accounts rather than neutral holding mechanisms.

Client due diligence conducted by Nguo & Co. was inadequate, with incomplete beneficial ownership information and no enhanced due diligence applied despite links between some directors of Pasi Investment Group and county government officials. The firm assumed that transaction monitoring was solely the responsibility of Mkulima bank, Mwalimu bank, and Mhadhiri bank, and failed to question the repeated use of escrow accounts for operational payments.

The scheme was identified after the banks filed multiple Suspicious Transaction Reports, where the Authorities detected consistent layering patterns involving professional intermediary accounts.

Red flags

- Incomplete beneficial ownership information, offshore BVI structures, and links between directors and county government officials.
- Large and frequent deposits from construction companies and trading firms with no clear nexus to the stated real estate projects
- Generic, unrelated and repetitive transaction narrations.
- Misuse of escrow accounts as pass-through vehicles

9.7 Case study 7 (abuse of virtual assets)

During routine bookkeeping and bank reconciliation for her client, Busk Digital Traders Ltd, Mrs. S who is a registered accountant in Kenya notices that the company's bank account receives frequent cash and electronic deposits from multiple unrelated individuals, followed by immediate purchases of virtual assets that are transferred to external wallets not held in the company's name. The transactions which do not show clear commercial purpose, are often just below the reporting thresholds, and involve wallet addresses linked to high-risk jurisdictions.

When questioned, the client explains that it is "assisting friends and overseas clients" to trade crypto but cannot provide customer due diligence records, source-of-funds documentation, or contracts supporting third-party trading. The accountant also observes rapid conversion of virtual assets back into fiat and movement through different accounts within short periods, indicating possible layering and attempts to obscure the audit trail. Applying professional skepticism, Mrs. S escalates the matter to her firm partner who is the firm's MLRO for further review and action.

Red flags

- Frequent deposits from multiple unrelated third parties with no clear relationship to the business
- Immediate conversion of funds into virtual assets, indicating rapid movement of value
- Transfer of virtual assets to external wallets not owned or controlled by the company
- Lack of clear economic or commercial purpose for the transactions
- Transactions consistently structured just below reporting or internal review thresholds
- Client acting on behalf of undisclosed third parties ("assisting friends/overseas clients")
- Absence of customer due diligence (CDD) and source-of-funds documentation
- Exposure to high-risk jurisdictions with weak AML/CFT controls
- Rapid conversion of virtual assets back into fiat currency, suggesting layering
- Movement of funds through multiple accounts in short timeframes to obscure audit trails
- Client's inability to adequately explain transaction patterns or provide supporting agreements





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